

Module 1: Introduction to E-commerce

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E-Commerce

E-commerce is the digitally enabled exchange of goods, services, or information using networked systems. It is the use of internet technologies to transform business relationships and processes, including:

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| <ul style="list-style-type: none">• Sales• Marketing• Customer service• Supply chain | <p>E-commerce integrates:</p> <ul style="list-style-type: none">• Information Technology• Business Strategy• Consumer Behavior |
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E-Commerce is not just “online shopping” — it is a complete digital business ecosystem involving transactions, communication, and coordination over networks. **Components:**

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|---|---|
| 1. Communication Infrastructure <ul style="list-style-type: none">○ Internet, intranet, extranet○ Enables data transfer between buyer and seller | 3. Participants <ul style="list-style-type: none">○ Buyers (customers)○ Sellers (businesses)○ Intermediaries (payment gateways, logistics providers) |
| 2. Business Processes <ul style="list-style-type: none">○ Order placement○ Payment processing○ Inventory management○ Delivery logistics | 4. Support Services <ul style="list-style-type: none">○ Online banking○ Advertising platforms○ Customer support system |

Advantages of E-Commerce

1. **Global Reach:** This allows businesses to sell products worldwide without physical presence.
2. **24/7 Availability:** This enables customers to shop anytime without time restrictions.
3. **Cost Reduction:** This reduces expenses like rent, staff, and maintenance.
4. **Convenience:** This allows shopping from home, saving time and effort.
5. **Wide Variety:** This provides many product options and easy comparison.
6. **Fast Transactions:** This enables quick ordering and online payments.

7. **Data & Personalization:** This helps track customer behavior and offer recommendations.
8. **Scalability:** This allows easy expansion of products and business operations.

Disadvantages of E-Commerce

1. **Security Issues:** This involves risks like hacking and data theft.
2. **No Physical Inspection:** This prevents checking products before purchase.
3. **Internet Dependence:** This requires stable internet for transactions.
4. **Delivery Delays:** This may cause late product delivery.
5. **High Competition:** This creates difficulty for small businesses.
6. **Technical Problems:** This includes website crashes and errors.
7. **Return Issues:** This involves delays in returns and refunds.
8. **Lack of Interaction:** This reduces personal contact with sellers.

E-Commerce vs Traditional Commerce

Commerce refers to the exchange of goods and services. It can be broadly classified into **Traditional Commerce** (physical transactions) and **E-Commerce** (electronic transactions over the internet). Both systems differ in operation, cost, reach, and efficiency.

Basis	E-Commerce	Traditional Commerce
Mode of Operation	Conducted through internet (websites/apps)	Conducted through physical stores
Market Reach	Global reach	Limited to local/regional area
Operating Hours	24/7 availability	Fixed business hours
Cost Structure	Lower operational costs	Higher costs (rent, staff, utilities)
Customer Interaction	Virtual (chat, email, call)	Face-to-face interaction
Product Inspection	No physical inspection	Physical inspection possible
Speed of Transactions	Fast and automated	Slower and manual
Payment Methods	Digital payments (UPI, cards, net banking)	Mostly cash and limited digital
Business Expansion	Easy and scalable	Difficult, requires physical setup
Personalization	High (data-driven recommendations)	Limited personalization
Risk Factors	Cyber threats, data breaches	Physical risks like theft
Convenience	High (anytime, anywhere shopping)	Less convenient (requires travel)

Managerial Perspective of E-Commerce

Managerial perspective of e-commerce refers to how managers **plan, implement, and control** online business activities. It focuses on integrating technology with business strategies to achieve organizational goals efficiently. **Key Managerial Areas in E-Commerce**

- 1) **Strategic Planning:** This involves deciding the overall direction of the e-commerce business. Managers choose the business model, target market, and competitive strategy.
- 2) **Technology Management:** This includes selecting and maintaining e-commerce platforms such as websites and mobile apps. Managers ensure system performance, security, and regular updates.
- 3) **Supply Chain Management:** This deals with managing inventory, warehousing, and delivery systems. Efficient logistics ensures timely order fulfillment and customer satisfaction.
- 4) **Customer Relationship Management (CRM):** This focuses on maintaining good relationships with customers. It includes customer support, feedback handling, and personalized services.
- 5) **Marketing Management:** This involves promoting products through digital channels like social media, email, and search engines. Managers focus on attracting and retaining customers.
- 6) **Financial Management:** This includes handling online payments, budgeting, and cost control. Managers ensure profitability and proper financial planning.
- 7) **Risk and Security Management:** This involves protecting systems from cyber threats like hacking and fraud. Managers implement security measures such as encryption and authentication.
- 8) **Legal and Regulatory Compliance:** This ensures that the business follows all laws related to e-commerce, including data protection, taxation, and consumer rights.

Rules & Regulations for Controlling E-Commerce

1. **Consumer Protection Laws:** These laws protect customers from unfair trade practices. They ensure rights like refund, replacement, and protection against misleading advertisements.
2. **Data Protection and Privacy:** These rules ensure that customer data is collected and used responsibly. Personal information must be stored securely and used only with user consent.
3. **Electronic Contracts (E-Contracts):** These make online agreements legally valid between buyers and sellers. Terms and conditions must be clearly defined and accepted by users.
4. **Digital Signatures:** These are used to verify the authenticity of electronic documents. They ensure identity verification and data integrity.
5. **Cybersecurity Regulations:** These require businesses to implement security measures like encryption and firewalls. They help prevent hacking, fraud, and data breaches.
6. **Taxation Rules:** These ensure that e-commerce businesses pay taxes like GST. Proper records of transactions must be maintained.
7. **Intellectual Property Rights (IPR):** These laws protect digital content such as logos, software, and designs. Unauthorized use or copying is punishable.
8. **Payment and Banking Regulations:** These govern online payment systems to ensure secure transactions. Businesses must use reliable and approved payment gateways.
9. **Advertising and Marketing Rules:** These ensure that online advertisements are truthful and not misleading. False claims and deceptive promotions are prohibited.
10. **Licensing and Registration:** These require e-commerce businesses to register with authorities. Proper licenses ensure legal and smooth operation.

Cyber Laws

Cyber laws refer to the legal rules and regulations that govern activities conducted over the internet and digital networks. These laws ensure **security, privacy, and proper conduct** in cyberspace and deal with issues like cybercrimes, electronic transactions, and data protection. Cyber laws are essential for maintaining **security, trust, and legality** in the digital world. They support the growth of e-commerce by protecting both businesses and consumers from cyber threats. **Objectives:**

- To provide legal recognition to electronic transactions
- To prevent cybercrimes such as hacking and fraud
- To protect user data and privacy
- To ensure secure online communication
- To promote trust in e-commerce systems

Cyber Laws in India

The main law governing cyber activities in India is the **Information Technology Act, 2000**.

- Gives legal recognition to electronic records and digital signatures
- Defines cybercrimes and penalties
- Provides guidelines for data protection
- Establishes authorities for handling cyber disputes

Important Concepts in Cyber Laws

1. **Electronic Records:** Electronic data such as emails, documents, and digital files are legally recognized.
2. **Digital Signatures:** Used to authenticate electronic documents and verify the identity of the sender.
3. **E-Contracts:** Online agreements between parties are legally valid if proper consent is given.
4. **Certifying Authorities:** Organizations authorized to issue digital signature certificates.

Types of Cyber Crimes

1. **Hacking:** Unauthorized access to computer systems or networks.
2. **Phishing:** Fake emails or websites used to steal sensitive information.
3. **Identity Theft:** Stealing personal data and using it fraudulently.
4. **Cyber Stalking:** Harassing or threatening individuals online.
5. **Online Fraud:** Cheating people through fake websites or transactions.
6. **Malware Attacks:** Use of harmful software like viruses and ransomware.

Penalties under Cyber Laws

- Fines and monetary penalties
- Imprisonment for serious offenses
- Compensation to victims
- Legal action against offenders

Role of Cyber Laws in E-Commerce

- Securing online transactions
- Protecting customer data
- Preventing fraud and cyber attacks
- Ensuring legal validity of online business activities